

But this example is of further utility in illustrating the all-pervasive factor of change and the necessity of taking it into account in bond analysis. By 1937 the failure of Atchison's earnings to recover within striking distance of its former normal, and the actual inadequacy of the margin above interest requirements as judged by conservative standards, should have warned the investor that the "adjustment" (*i.e.*, contingent) element in the junior issue could not safely be ignored. Thus a price relationship that was logical at a time when safety of interest was never in question could not be relied upon under the new conditions. In 1938 the poor earnings actually compelled the road to defer the May 1 interest payment on the adjustment bonds, as a result of which their price fell to 75 $\frac{1}{4}$ and the spread widened to 24 points. Although the interest was later paid in full and the price recovered to 96 in 1939, it would seem quite unwise for the investor to apply pre-1932 standards to this bond issue.

A junior lien of Company X may be selected in preference to a first-mortgage bond of Company Y, on one of two bases:

1. The protection for the total debt of Company X is adequate and the yield of the junior lien is substantially higher than that of the Company Y issue; or
2. If there is no substantial advantage in yield, then the indicated protection for the total debt of Company X must be considerably better than that of Company Y.

Example of 2:

Issue	Price in 1930	Fixed charges earned, 1929*
Pacific Power and Light Co. First 5s, due 1955	101	1.53 times
American Gas and Electric Co. Debenture 5s, due 2028	101	2.52 times

* Average results approximately the same.

The appreciably higher coverage of total charges by American Gas and Electric would have justified preferring its junior bonds to the first-mortgage issue of Pacific Power and Light, when both were selling at about the same price.¹⁴

¹⁴ In 1937 the low price of Pacific Power and Light 5s was 51, against a low of 104 for the American Gas and Electric Debentures.